

Pakistan's Economic Crisis

IMF Dependency, CPEC Debt, and the Structural Trap

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Executive Summary

Pakistan's economy approached the brink of sovereign default in June 2023, requiring an emergency stabilisation effort to prevent collapse. FT[2025-01-28] reporting, citing Pakistani officials, confirms that the country was saved "from the brink of default in June 2023" and that inflation peaked at 38% before the central bank subsequently cut interest rates. The IMF Extended Fund Facility secured \$7bn for Pakistan, and by September of the following year inflation had fallen to 4.1%. FT[2026-07-23] reports that Pakistan subsequently sought a further \$10bn loan from the United States to bolster foreign exchange reserves and improve market access. However, the stabilisation remains fragile: FT[2026-07-24] reports that debt service obligations will consume roughly 40% of Pakistan's revenues in the year to June 2027, and that the UAE had called in \$3.5bn in loans — a sum equal to a fifth of Pakistan's central bank reserves — shocking Islamabad's financial managers.

Part I — The Debt Burden and External Financing Crisis

Shrinking Room for Error

The scale of Pakistan's external obligations has tightened sharply. According to FT[2026-07-24], debt service payments will absorb roughly 40% of Pakistan's government revenues in the year to June 2027. The UAE's decision to call in \$3.5bn in loans — representing approximately one-fifth of Pakistan's central bank reserves — illustrated how quickly bilateral financing arrangements can become sources of acute pressure. FT[2026-07-23] reported that Pakistan formally requested a \$10bn loan from the United States, to be backed on sovereign credit ratings, with the support package designed to help Pakistan bolster reserves and improve market access as part of its ongoing IMF programme.

Pakistan's military-led investment vehicle, co-chaired by army chief Munir, has so far failed to deliver even a fraction of the \$75bn in foreign investment sought; the country also faces difficulties securing financing for 1,300km of highway connections FT[2026-07-24].

The June 2023 Default Moment and IMF Anchor

Pakistani government and military officials acknowledged in early 2025 that the country had been saved "from the brink of default in June 2023," with inflation having peaked at 38% before the central bank began cutting rates FT[2025-01-28]. The \$7bn secured through the IMF EFF brought a semblance of economic stability, and by September inflation had fallen to 4.1% FT[2025-01-28].

Part II — The Army Economy: From Shadow to Centre

The Military as Pakistan's Largest Economic Actor

Pakistan's military establishment has moved from the economic shadows to an explicit role at the centre of economic management. FT[2025-01-28] reporting describes the Pakistan Armed Forces as Pakistan's "largest conglomerate," with military-linked businesses commanding an extensive footprint. Analysts and officials state that the military's influence over the country's civil economy is at its highest level since former President Musharraf's resignation FT[2025-01-28].

The army has become, as analysts cited by FT[2025-01-28] note, deeply involved in the civilian economy — pursuing anti-corruption mandates, pursuing tax reform, and seeking renegotiation of energy contracts. Army chief Munir has publicly made saving the economy a core part of his agenda, meeting with investment and Gulf partners including with the then-head of Inter-Services Intelligence FT[2025-01-28]. A military-led special investment vehicle has pursued Gulf states and Washington for capital, though results remain limited FT[2025-01-28].

Wind energy executives were among those brought into formal consultations with army-affiliated interlocutors in January 2025, alongside discussions on other reforms, including the privatisation of Pakistan International Airlines FT[2025-01-28]. However, investors have grown increasingly nervous: the armed forces' expanding involvement in everything from canal projects to energy contracts has introduced uncertainty into Pakistan's investment environment FT[2025-01-28].

One professor at Oxford, advising Prime Minister Sharif on economic reform, notes that the military sees itself as a guarantor of economic stability — but adds: "We have failed to take" the structural steps needed FT[2025-01-28].

Part III — The Energy Sector: Contracts, Costs, and Circular Pressure

Power Sector Financing and the IFC

Pakistan's power sector has absorbed substantial external financing without resolving its underlying dysfunction. FT[2025-02-26] reports that the International Finance Corporation provided \$2.7bn in financing for Pakistan's power sector over 25 years. However, the same reporting notes that contracts have made energy plants economically unviable, with the IFC and related parties calculating that renegotiated arrangements could save at least Rs1tn (\$5.6bn). Pakistan's military did not respond to a request for comment on power sector reform FT[2025-02-26].

Petrol prices in Pakistan remain sharply above pre-crisis levels even after successive rounds of relief measures, reflecting persistent pass-through from global energy price movements and currency weakness FT[2026-04-30]. Karachi-based energy businesses have moved toward solar battery storage as a hedge against unreliable grid supply, though economic growth has not kept pace with energy investment costs FT[2025-06-03].

Part IV — The China Relationship: Frustration and Dependency

CPEC Tensions and Security Costs

Pakistan's relationship with China through the China-Pakistan Economic Corridor has grown more complicated. Chinese officials have expressed frustration over militant attacks in Pakistan that have killed their workers — attacks that have continued despite Pakistan's security commitments FT[2025-10-27]. The relationship has been maintained through bilateral debt rollovers and US assent, with army chief Munir walking a geopolitical tightrope between Pakistan's long-standing Chinese partnership and the requirements of its relationship with Washington and Gulf bilateral creditors FT[2025-10-27].

Pakistan has been ruled for much of its history since independence by military leaders, and for the past month tensions with China had come close to breaking before being brokered through diplomatic channels FT[2025-10-27].

Part V — Strategic Position and US Engagement

Pakistan Asks Washington for \$10bn

Pakistan's outreach to Washington for emergency financial support reflects its deteriorating reserve position. FT[2026-07-23] reported that Pakistan asked the United States for a \$10bn loan — which would be larger than any prior US support package of the kind — based on sovereign credit ratings, as part of broader efforts tied to the IMF programme. The request was made against the backdrop of Pakistan having learned that the UAE and other Gulf and Asian creditors had moved to call in outstanding loans.

Pakistan's strategic position remains intertwined with US Central Command and Saudi Arabia, with the military seeking to placate the country's restive western regions and secure geopolitical backing for its economic diplomacy FT[2026-07-24].

Conclusion: Fragile Stabilisation, Structural Constraints Unchanged

Pakistan's economic trajectory as of August 2026 represents a genuine reprieve from the acute crisis of June 2023 — inflation has fallen from 38% to 4.1% FT[2025-01-28], the IMF EFF has provided a \$7bn framework FT[2025-01-28], and formal default was avoided. But the structural constraints remain intact. Debt service will consume roughly 40% of revenues through June 2027 FT[2026-07-24]. The military, now Pakistan's acknowledged largest economic conglomerate FT[2025-01-28], remains simultaneously the country's economic manager and its primary structural obstacle to reform. The IFC and international creditors have invested billions in Pakistan's power sector without resolving its fundamental dysfunction FT[2025-02-26]. And Pakistan's foreign investment vehicle has failed to mobilise the \$75bn sought FT[2026-07-24].

Whether the current stabilisation holds depends on debt rollover diplomacy, IMF tranche compliance, and the army's willingness to renegotiate energy contracts that its own analysts acknowledge are unviable — none of which is guaranteed.

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